

BALANCE SHEET

Let us begin by creating a personal balance sheet. A balance sheet is a list of all the assets that we own and all the liabilities that we have to pay. For example, all that is in our possession like a car, a house, stocks, jewellery, investments, business, etc. are our assets. On the other hand, all that we owe such as personal loans, car loans, home loans, credit cards, unpaid bills, etc. are all our liabilities. While creating a balance sheet, we will list down all our assets on one side and all the liabilities on the other side and then check the net difference. These will be the net assets that we own after paying all the liabilities. It would be considered our net worth.

Liabilities

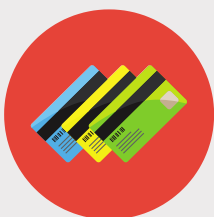
All that an individual owes to others



STUDENT LOAN



HOME LOAN



CREDIT CARD



OUTSTANDING
BILLS

Assets

All that an individual owns



HOUSE



GOLD



CAR



BUSINESS PROPERTY



INVESTMENTS



CASH

Networth

The true worth of an individual
(Networth = Assets - Liabilities)

Keep it simple. Refrain from using Excel, and stick to the good old pen-paper for this. Don't make complex company balance sheets. Keep it informal, avoid jargons and remember to preserve this piece of paper.